

Recruiting Challenges at Nazareth Consulting Group¹

Introduction

Linda Cavino is a senior partner at Nazareth Consulting Group (NCG), a mid-sized professional services firm in audit, tax, and consulting services that employs close to 10,000 employees in the U.S. and abroad. After 25 years of distinguished service on the client side, Linda recently took the position as Vice-President of Human Resources for the firm. NCG has historically been nationally recognized for being one of the “best places to work” in the audit and consulting industry as well as for implementing innovative human resources programs. Aside from the onsite amenities such as a free onsite gym and errand services (i.e. dry cleaning delivery), NCG has also been a leader in the industry for implementing policies aimed to improve employee satisfaction such as flexible working schedules, extended maternity leave for new parents, and free access to the executive education programs at prestigious business schools. Yet in recent years, Cavino had seen a decline in landing and retaining the top recruits from right out of graduate programs. Feeling an immense pride in growing the firm and developing a top reputation for both the quality of work for clients and a supportive culture for employees, she took this job, in large part, to try to refine the recruiting and selection efforts and return the prominence of Nazareth to among the very best consulting firms in the country.

Refining the Consultant Recruitment Process

Like many consulting firms, Nazareth Consulting Group recruits for new consultants from the top business schools in the country and from existing professionals with post-graduate degrees. Within each major metropolitan city office, recruiting efforts are divided among full-time recruiters whose sole responsibilities are to source possible candidates and client-facing consultants who carve out time to help with recruiting efforts. There are, on average, ten recruiters per office, but this figure varies by practice size. Half of the full-time recruiters in each office are responsible for efforts aimed at top business schools, evenly splitting their time across the top 60 business schools, and the

¹ This case was written by Professor Sekou Bermiss (University of Texas at Austin) and Professor Ethan Burris (University of Texas at Austin) for educational purposes. It is based on true events, but names, quotations, and data have been disguised and sanitized to protect confidentiality. For permission to use, contact Professor Bermiss at Sekou.Bermiss@mcombs.utexas.edu.

other half focus their efforts on existing professionals. The client-facing consultants predominantly help with on-campus recruiting efforts at top business schools.

Once candidates are identified, the offers for new consultants consist of a pre-set salary and benefits given to all potential recruits. The only differentiating factor for job offers is the signing bonus, which is partly determined by the average bonus at each particular business school. For the last few years, the recruitment yield, the number of recruits who accept the firm's job offer divided by the total number of recruits given offers, was widely unpredictable – from as low as 35 percent to as high as 68 percent. This unpredictability places immense strain on the HR and Operations to make sure that there were enough resources available to cover onboarding new consultants. Each new hire consultant is required to attend four weeks of training where they learn NCG's client relationship management practices and propriety internal knowledge software, and an additional two weeks of on-site training depending on the specific practice they join. Laptops and software licenses need to be purchased for the new hires and they need dedicated office space for the first few months. When incoming yield is lower than expected the firm loses money on unused reserved hotel space, office space, and technology assets. Not to mention the stress it causes to complete all of the client work without the adequate staff. If the incoming yield is higher than expected the firm pays a significant premium to expedite the purchase of these resources. Further, there is great difficulty in absorbing additional consultants without client work to keep them fully busy.

Secondly, Cavino felt little confidence that the selection process itself was efficient. The firm spends significant resources on training for incoming consultants, and too many senior consultants were departing the firm within the first four years. At the senior partner meeting on Friday, the team elected to formally task Linda with creating a strategy to refine the firm's approach to recruitment so that Nazareth could accurately forecast training and development expenses and minimize turnover of new employees in first four years.

The following Monday, Cavino sat at her desk and began to outline the process for tackling this new task. She first reviewed the recruitment and training processes for Nazareth. New consultants are (1) selected directly from MBA programs and (2) selected

from a pool of working professionals through recruiting firms and career fairs at industry conferences. The yield of candidates from the pool of existing professionals is fairly predictable (about 60% of the offers are accepted annually), however the qualifications of candidates are significantly lower than the candidates from the MBA pool. After the consultants are hired they enter into a month-long training programs that teaches them the primary methods and analytic tools that the firm uses in service of its clients. During this month, new hires are also introduced to the culture of the firm including the company's history, its expectations for employees, ethical norms, and unwritten rules. Many of the senior partners attend and lead training sessions in their expertise area. The firm runs shorter training sessions throughout the year, both in person and online, and each new hire is expected to accumulate 25 hours of professional development training each year. Most consultant do their training when they are "on the beach" in between client projects.

After the fourth year at the firm, consultants undergo partner review, which is more intense and comprehensive than the annual reviews in the first few years. The consultants get qualitative feedback, but also receive a performance score between one and five. Those that are underperforming or deemed a poor fit for the firm generally received scores below 3.0, and are often separated from the firm at this review. Consultants who are high performers will receive scores above 4.5, and are widely viewed to be on the fast track to directorship and potentially partnership.

Leveraging more comprehensive data

After reviewing Nazareth's selection and training processes, Cavino decided that it would be beneficial to leverage pre-existing HR data to inform the new recruiting strategy. She chose a select group of HR managers, and assigned them the task of reaching out to various departments within HR to gather internal data about recruiting, performance, and retention. Her vision, she explained to the team, was to apply a more analytic lens to their recruiting strategy. The first step, she believed, was for the team to figure out the characteristics of the firm's successful consultants. The second step was to leverage those insights to direct the firm's recruiting resources towards candidates that demonstrate these same characteristics. The team of managers worked closely with several other groups within the HR department, but ended up closely collaborating with the HR group

that manages the firms recently implemented employee retention initiative. Using the data collected under this initiative, Cavino's team assembled a database containing every new consultant hire from the previous decade, their demographic information, and their fourth year performance review scores. Cavino had one of her associates identify the best statistical predictors of performance review scores and provided the following summary (see summarized details in Table 1 and full data set in Appendix):

1. **GMAT Scores:** This was one of the strongest predictors of performance. Candidates with the GMAT scores in the range of 700-800 are, on average, more likely to be high performers than those scoring on other ranges. Candidates with GMAT scores in the range of 600-700 were more likely to be low performers. Candidates with GMAT scores under 600 were average performers.
2. **Business School Ranking:** This is a linear predictor of performance. The higher the tier ranking of the MBA program, the higher the average performance review scores.
3. **Individual class ranking:** The class ranking of the individual in their MBA program was also a strong predictor of performance. Surprisingly, consultants that graduated in the Top 10th percentile of their class received the same performance scores as those who graduated between the 10th and 25th percentiles of their class.
4. **Preferred Practice Area:** New hires are asked to list their practice area preferences in their application. They may not be placed in this area, but it allows the organization to better understand the nature of the candidate's interest in the firm. Only two practice areas whose consultants receive performance scores above the mean, Mergers & Acquisitions and New Market Strategies. While these practices are considered high status, they are not the main revenue drivers of the firm.
5. **Years of work experience.** Candidates with less than two years of work experience receive the lower performance scores than candidates with two or more years of work experience. For candidates above two years of work experience there is no evidence that more experience leads to improved performance.
6. **Type of Industry Background.** The recruitment data also captured the nature of each new hire's previous work experience. Those that had any previous experience in the consulting or finance industry performed significantly better on the 4th year review than those who came from other industries.

7. **Business School Students vs. Working Professionals:** Consultants hired as working professionals receive the same performance review scores as consultants from MBA programs. Recruiters in the HR department noted that the firm usually pays these professionals a signing bonus that is significantly higher than the bonuses offered to MBA graduates.

The current recruitment strategy has been to devote a similar amount of resources across both MBA graduates and working professionals, and minimal attention had been paid to these various demographic breakdowns. As preliminary test, Cavino had her associate create a statistical model that calculates the predictive power of each demographics variable on performance outcomes. She took the results of the predicative model and applied it to the recruiting data to predict the “future performance” of all the recruited candidates from the last 10 years, regardless of whether they accepted or declined NCG’s job offer. They found that the performance review score predictors were also a good predictors for job offer acceptance. This suggests that the same characteristics predicted both the likelihood to accept an offer and the likelihood that they would exceed expectations in their performance reviews. Armed with this analysis, Cavino sat down and began to outline a revised recruitment strategy. The next senior partner meeting was in a little over three weeks, and she was first on the agenda to present her new plan.

Take the role of Cavino, outline the strategy that you would propose to the senior partnership to address the issue around candidate recruitment? As part of your outline include an explanation of:

- 1) What insights can be drawn from the recruitment data?*
- 2) How should these insights be optimally applied to the new strategy?*
- 3) Who specifically should Cavino target in her recruiting strategy? How will you identify these candidates?*

Table 1. Performance Review Summary Data

		MBA Graduates Average 4th Year Performance Review Score	Working Professionals Average 4th Year Performance Review Score
GMAT Scores	700-800	4.6	4.4
	600-700	3.7	4.1
	<600	4.2	3.8
Business School Ranking	Schools ranked 1-20	4.6	4.2
	Schools ranked 21-40	4.2	4.2
	Schools ranked 41-60	3.5	3.8
Individual Class Ranking	Top 10th percentile	4.3	4.4
	Between Top 10th and Top 25th percentile	4.3	4.1
	>25 percentile	3.7	3.7
Preferred Practice Area	Mergers & Acquisitions	4.4	4.2
	New Market Strategy	4.4	4.2
	All other areas	3.5	3.9
Years of Work Experience	0-1 years	3.5	3.6
	2-5 years	4.4	4.3
	6-10 years	4.3	4.2
Type of Industry Background	Consulting/Finance	4.5	4.3
	Non-Consulting/Finance	3.8	3.8
Overall Average		4.1	4.1
Average Signing Bonus		\$20,000	\$30,000